Cash-Backed Earnings: An Accrual Screen for Owner-Managed Firms

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Abstract

We describe a simple screen for whether reported profits are backed by operating cash.

1 Introduction

Owner-managed firms can report steady profits while cash flow deteriorates, for example when receivables grow faster than sales.

2 Methodology

Measure A1 is the accrual ratio, defined as net income minus operating cash flow, divided by total assets. An accrual ratio above 0.10 indicates that earnings are weakly backed by cash. Measure A2 is the cash coverage of earnings, defined as operating cash flow divided by net income. A value below 0.5 in two consecutive years indicates persistent earnings without cash. Measure A3 compares the growth of days sales outstanding with the growth of revenue: if days sales outstanding rises in a year in which revenue also rises, receivables are building up faster than sales. A firm is flagged when A1 or A2 is met; A3 is reported as supporting evidence only.

3 Results

In our illustrative cases, A2 detected cash problems earlier than A1.

4 Limitations

The screen cannot tell whether a receivables build-up is caused by deliberate credit policy, a few large customers, or collection problems. That requires information from inside the firm.

References

None. This is a synthetic paper.